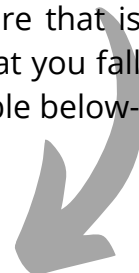


CAPITAL GAINS TAX

The last topic that we need to understand with taxed before we move forward is a special type of tax – Capital Gains Tax. Capital Gains tax is applicable at the time of selling any asset. Capital Gains tax refers to the one-time tax corresponding to the capital appreciation of any asset from the time it was purchased.

So, an asset was bought for Rs. 20 lacs and sold for Rs. 25 lacs, the capital appreciation in this case is Rs. 5 lacs. So, a capital gains tax is applicable on the Capital Gain i.e. Rs. 5 lacs in this case. The rate of taxation depends on the asset class and the period for which it was held. Short term capital gains rate and long term capital gains often vary. Also, the tenure that is considered as short term varies for different asset classes. Irrespective of tax slab that you fall into, the tax treatment of capital gains remains the same. It has been shown in the table below-



Asset Classes	Equity & Equity Based Mutual Funds	Debt & Debt Based Mutual Funds	Real Estate
Short Term CST	15%	Part of Taxable Income	Part of Taxable Income
Long Term CST	10% of Cap Gains (above Rs. 1 Lac)	10%	20%
Tenure for Short Term	Less than 1 year	Less than 3 years	Less than 2 years

Capital Gains tax is a major consideration while we are making an asset sales decision. We might postpone or prepone the decision to sell based on tax implications. So, it is important to understand the tax implications whenever we sell an asset. Their tax liability when we earn dividends and interest from assets as well. We will learn their tax treatment in the asset stage.

With this we end our discussion of taxes in the RRTTLLU principle. We have understood how taxes work and what are the relevant sections for us. This is will play a huge role when we create a Lazy Financial Plan for ourselves going further.